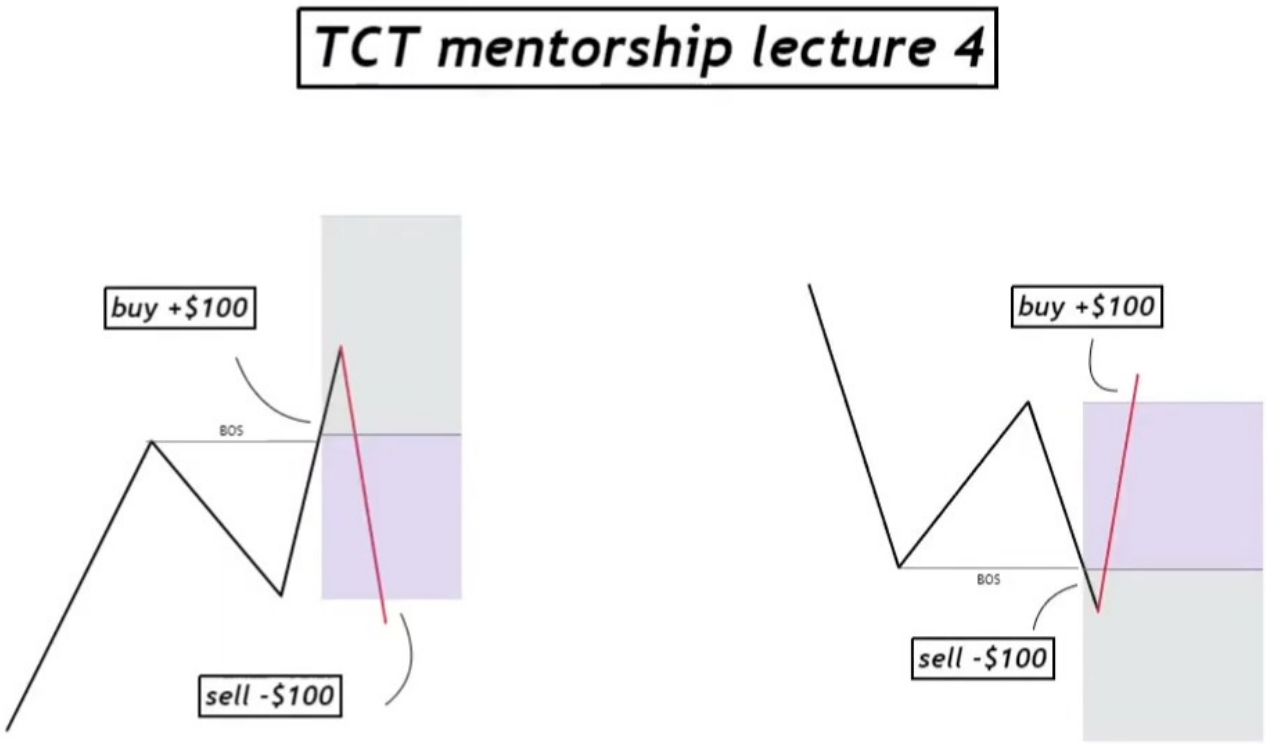
(1684) TCT mentorship - Lecture 4 | Liquidity - YouTube
https://www.youtube.com/watch?v=qILWb7ACaxU

Transcript:
(00:02) what is up guys and welcome to lecture four of the TCT mentorship where I'm going to be teaching you everything that you need to know about liquidity and this is the last lecture going over the basics and the foundation that you need to understand and master in order to trade TCT schematics in the correct way and this is the last one but in my opinion the most important okay because we trade and tcts com concepts are built around the understanding of market makers but if you want to understand market makers you need to understand

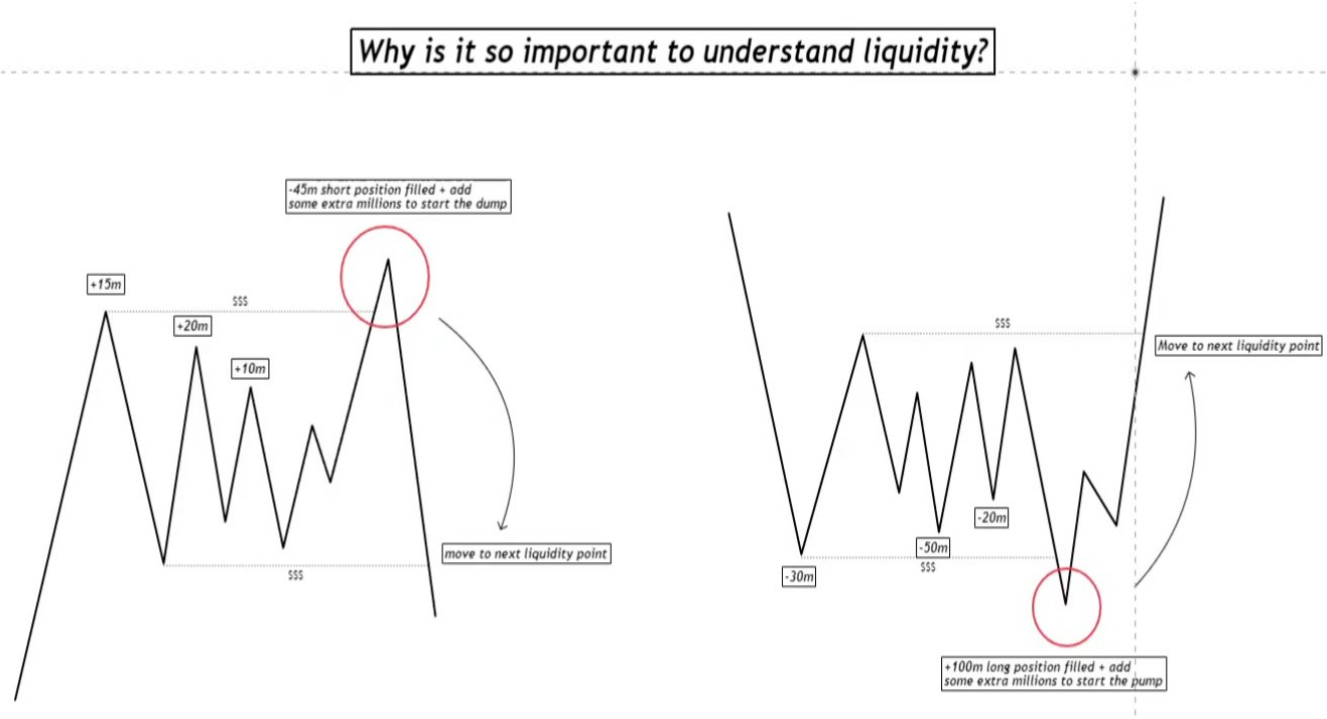


(00:39) liquidity because that's what market makers need in order to move price okay which will all be clear in this mentorship so pay close attention Okay after this lecture we're going to get into the juicy stuff of the strategies built around all the knowledge I've just given you guys in the past four lectures but what is liquidity when I am talking about liquidity I am mostly referring to where the most stop losses are located because what you guys need to understand is let's say you go long okay right here we have an uptrend we
(01:13) have a higher low and a higher high and you enter right here on this break of structure you go long okay meaning you buy so you buy right here and let's say your buy order is worth $100 okay now you put your stock stop loss below the low and you target somewhere higher and what happens when your stop loss gets hit unfortunately you buy but your stop- loss gets hit what the exchange will do that you're trading on it will sell your position at a lower price so you buy right here for $100 and then when your stop loss gets hit it will sell that
(01:54) position back to the markets at a lower price meaning you will have a loss but they sell it back back okay you have a buy order the stop- loss gets hit you sell it back to the markets at a lower price for a loss it works the opposite way when you go short let's say we're in the downtrend and you enter on the breaker structure well you put your stop loss above that market structure high and you target

somewhere lower okay unfortunately the stop- loss gets hit when you enter it means you sell you sell $100 hoping you can buy it back at a
(02:27) lower price for a profit but if your stop- loss gets hit it means that the exchange will buy back the position at a higher price for a loss right but this is crucial to understand where you go long and your stop loss gets hit it means you sell back your position at the lower price

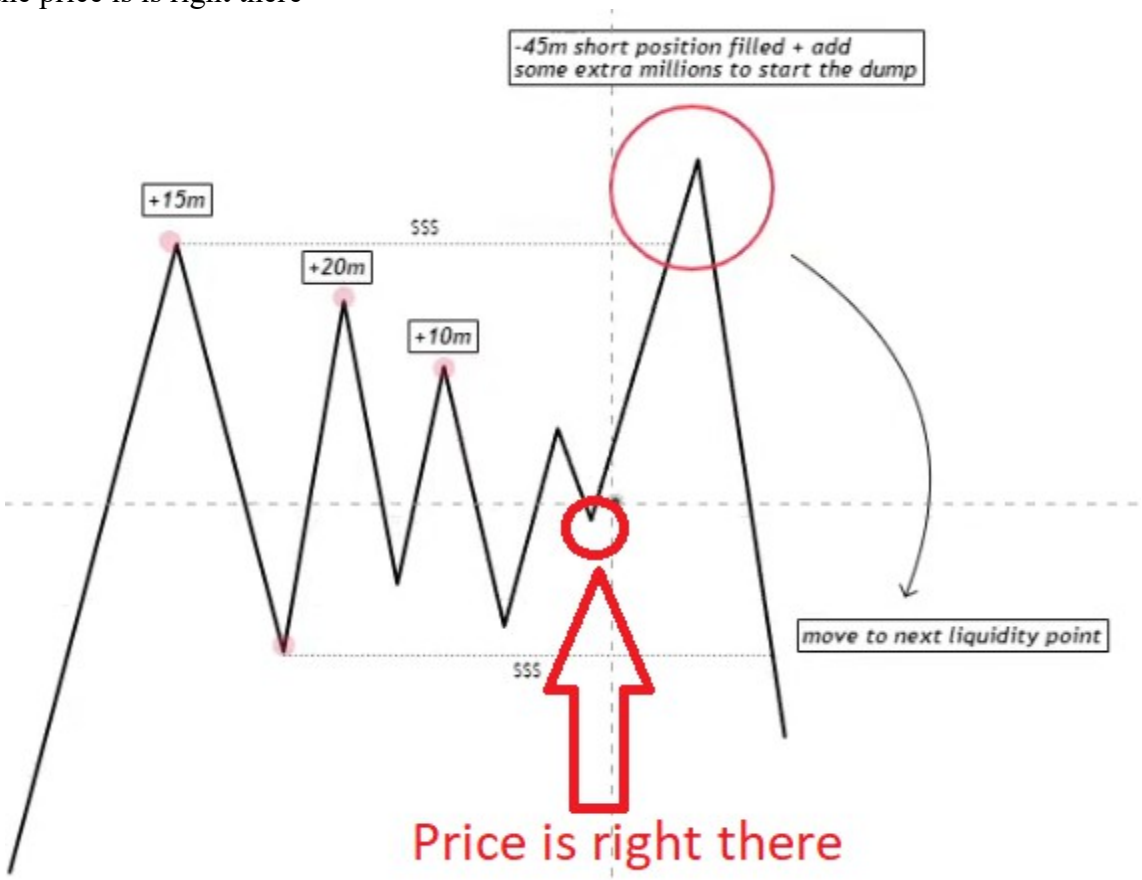
and then when you go short and your stop loss gets hit it means you buy back to position at a higher price

and the reason why this is so important to understand is because TCT schematics are built around the understanding of market makers market



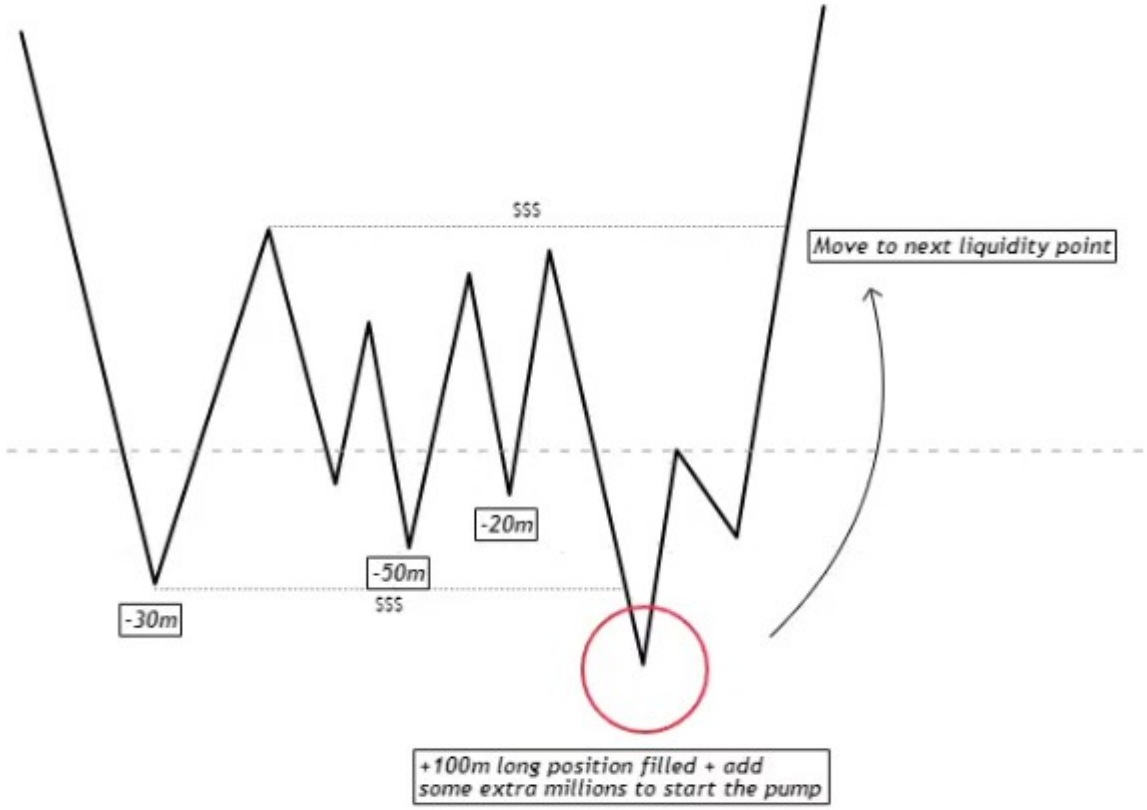
(03:06) makers move price if you are in a trading position and you want that position to hit its takeprofit you are depending on the market maker to move it in your desired Direction because us at a as a retail Trader we cannot move price our position sizes are too little to be able to move price so if you want your takeprofit to be hit it means you hope that the market maker will move the the trade in your desired Direction okay but a market maker can only move price with enough money sometimes even hundreds of millions up to billions of
(03:45) dollars in positions to be able to move price when you're trading very liquid assets like gold Forex but also BTC which is a trillion doll asset class right you need lots and lots and lots of money to be able to move price however if they want to move price meaning they'll have to buy hundreds of millions of dollars of BTC well for every buy order that the market maker wants to fill they need an equal order selling it to them if I want to buy 100 million someone needs to sell 100 million to me otherwise I cannot buy
(04:20) a 100 million so what do the market makers do they will look for areas where there's the most liquidity meaning the most stop losses because you know if your stop- loss gets triggered that causes either a buy order or a sell order depending on if you are long or short right and then they search for those areas of liquidity to fill their own positions and then they can let price reverse so what you can see right here in the picture is that let's say we have a Range High okay let's say we have a Range High and we have a range low and
(04:57) we have a few local highs right here you know just a few local lower highs price only went down here if there were sellers well people went short causing price to go lower they put their stop loss above that above that high okay that's the clear invalidation same goes for this High same goes for that high if that stop loss gets hit that causes a buy order a buy trigger they are short so they sell the position to the market if their stop loss gets hit it means they buy the position back at a higher price the 10 and the 20 and the 15 represent
(05:34) Millions okay so Above This High there are 10 there there are stop losses located worth 10 million in buy orders okay so if price comes above that high stop losses will get hit causing a 10 million buy trigger for this high is 20 million and for that high is 15 million the market maker will realize that using his data and they'll see like okay I want the dumb price I want the dumb price and he

the price is is right there

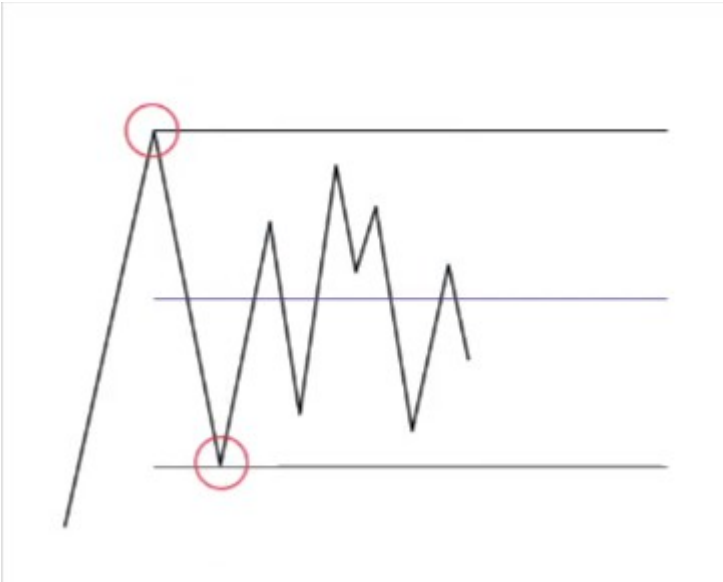


I want the dump price lower okay aggressively and he calculates okay I need 45 million you know a bit more than
(06:08) a 45 million to dumb price he cannot fill 45 million right here because they're not 45 million people buying it of his sell orders so what he'll do is he'll push Price ever so slightly causing these stop-loss orders to get triggered causing 45 million in buy orders which is perfect which is the perfect amount for his $45 million short position to get filled because now he has 45 million people buying it to him so he can or buying it off of him so he can sell it to them and then he out he'll he'll add a few million to cause
(06:44) the dumb down but that's how he fills a $45 million short position he'll look where the stop losses are that equal that amount that he needs to sell in order to dump price he'll let Price ever go up ever so slightly when this stop loss gets hit that causes that buy trigger so price spikes higher and then that causes that stop loss to get hit causing a spike higher now all these stop loss are getting hit equaling a $45 million buy order so he can sell 45 million to the market now and then that price reverse because
(07:16) markets love to move from liquidity to liquidity especially in crypto crypto is a bit less liquid than gold or Forex so markets need liquidity to be able to move so in crypto you'll see it way more often that price will literally just go from liquidity point to liquidity point and all the liquidity points will be explained later in this lecture okay and when we want to go long and we want to pump price it works the exact same way right let's say uh the market maker comes to the market right here and he's like okay I want to pump
(07:50) price but in able to pump price I need 100 million buys but if I want to buy 100 million I need 100 million people or 100 million million getting sold to me doesn't have to be 100 million people just the position size needs to be 100 million he'll see that below each low you know people bought right here causing price to go up people buy they put their stop loss below the low if you take out that low it will cause a 20 million sell order because when you're are long you buy and if your stop loss gets hit

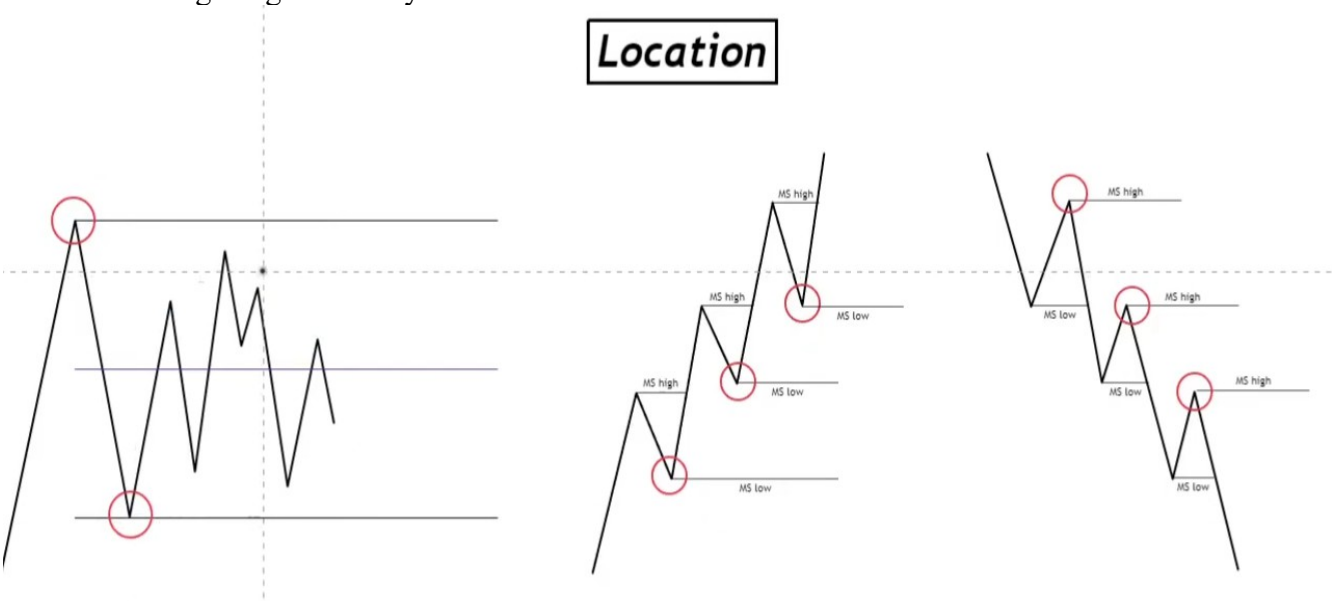
you sell at a lower price for a
(08:24) loss so all these lows have stop losses causing a sell order so if Mr Mark maker comes to the markets he's like okay I need I need 100 million to be able to pump price in my desired Direction okay what he can do is move price down ever so slightly just so this stop loss gets hit that will cause a 20 million sell order that will hit that low cost a 50 million sell order that will hit that low causing a 30 million sell order now he has 100 million sell orders so he can buy a 100 million and then reverse price (08:55) adding a few extra to the next liquidity point it's very it's very nasty guys because if you do not understand it he is taking your stop loss to fill his position and then reverse price in your desired Direction so if you ever had the feeling that your stop- loss is a target it literally is if you go short your stop loss gets hit and then price goes into your favor for hitting your take profit it's because you're on the wrong side of the market and you do not understand the market maker properly because he's using your stop loss as



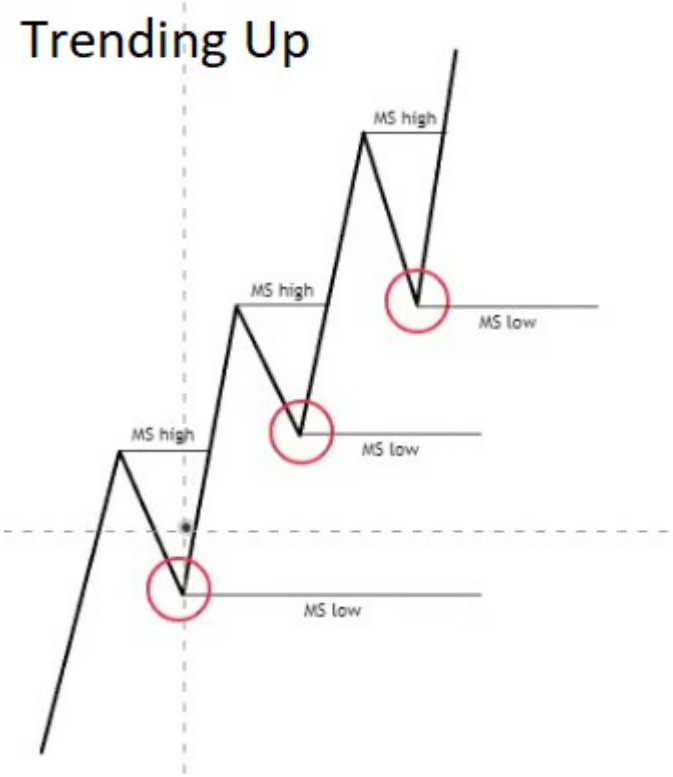
(09:27) liquidity for his own good okay so let's talk about where the most liquidity will always be located so talking about location of where will always be the most liquidity it's very simple when you're in a Range the most liquidity will always be above your Range High and below your range low



why because people that sell in your range hopefully they are selling in the upper section of the range the most clear invalidation is the Range High they go short right here and they're like okay if price goes above that Range High that's my

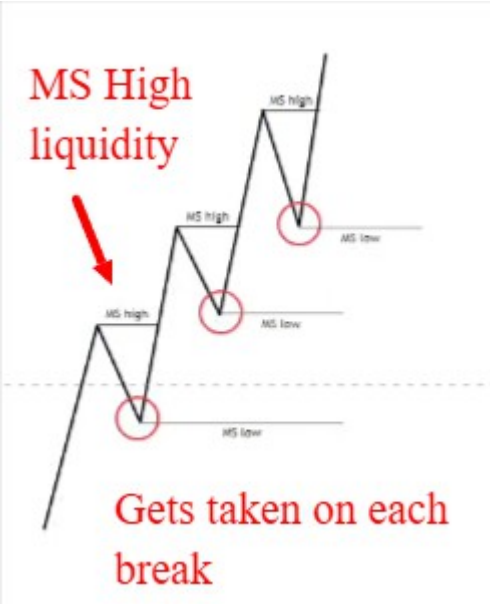


(10:06) invalidation so your Range High and your range low will always have the most liquidity furthermore we also have structure when we're trending up your Market structure low will always contain the most liquidity

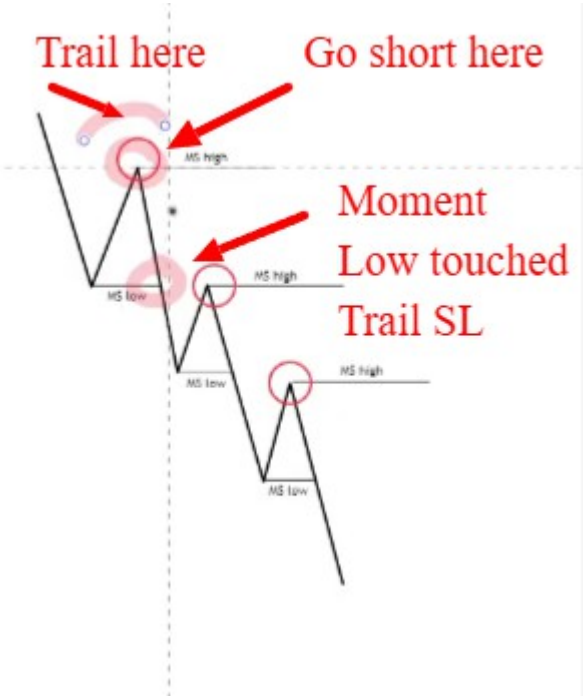


why if people enter on the breakout structure they'll put your stop loss below the low right people enter on the breaker structure they put their stop loss below the low

sometimes people even trail stop losses meaning it's double the amount on their one low but when people buy they put their stop loss normally below the
(10:36) market structure low which is very normal to do so the market structure low in the uptrend will always have the most liquidity your Market High also has liquidity in an uptrend but it already gets taken on each break

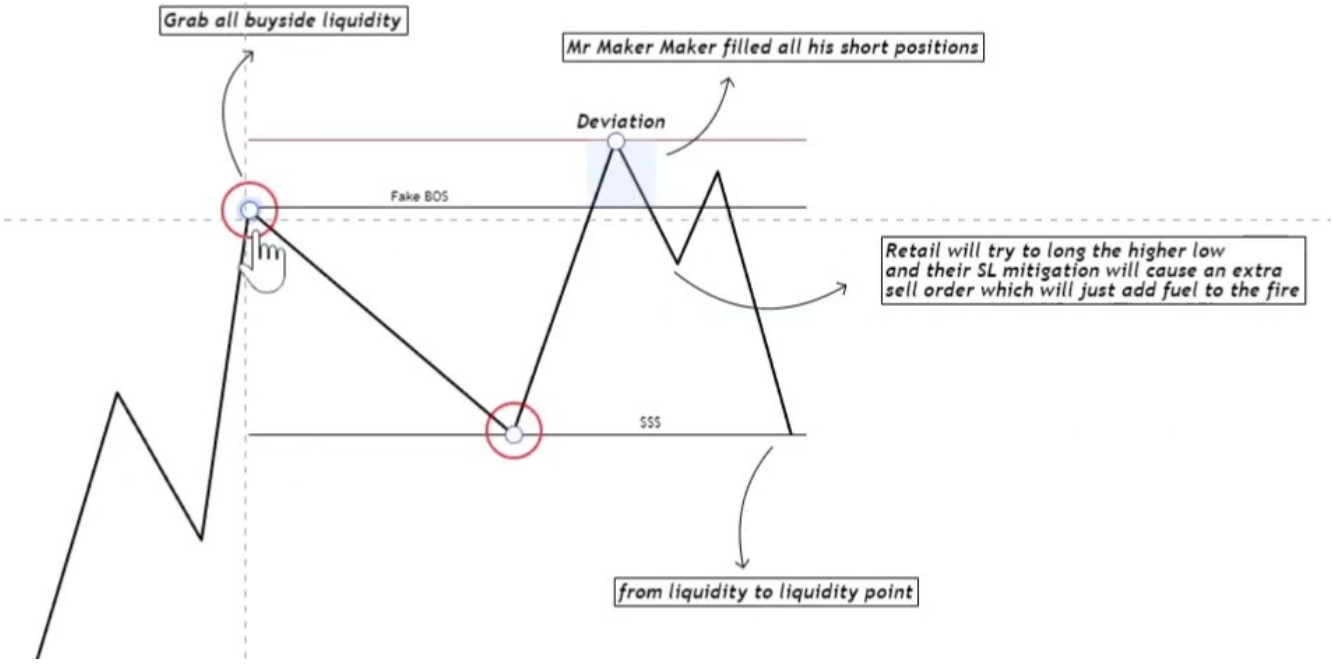


when we're trending down your Market structure High always has the most liquidity why well people go short right here

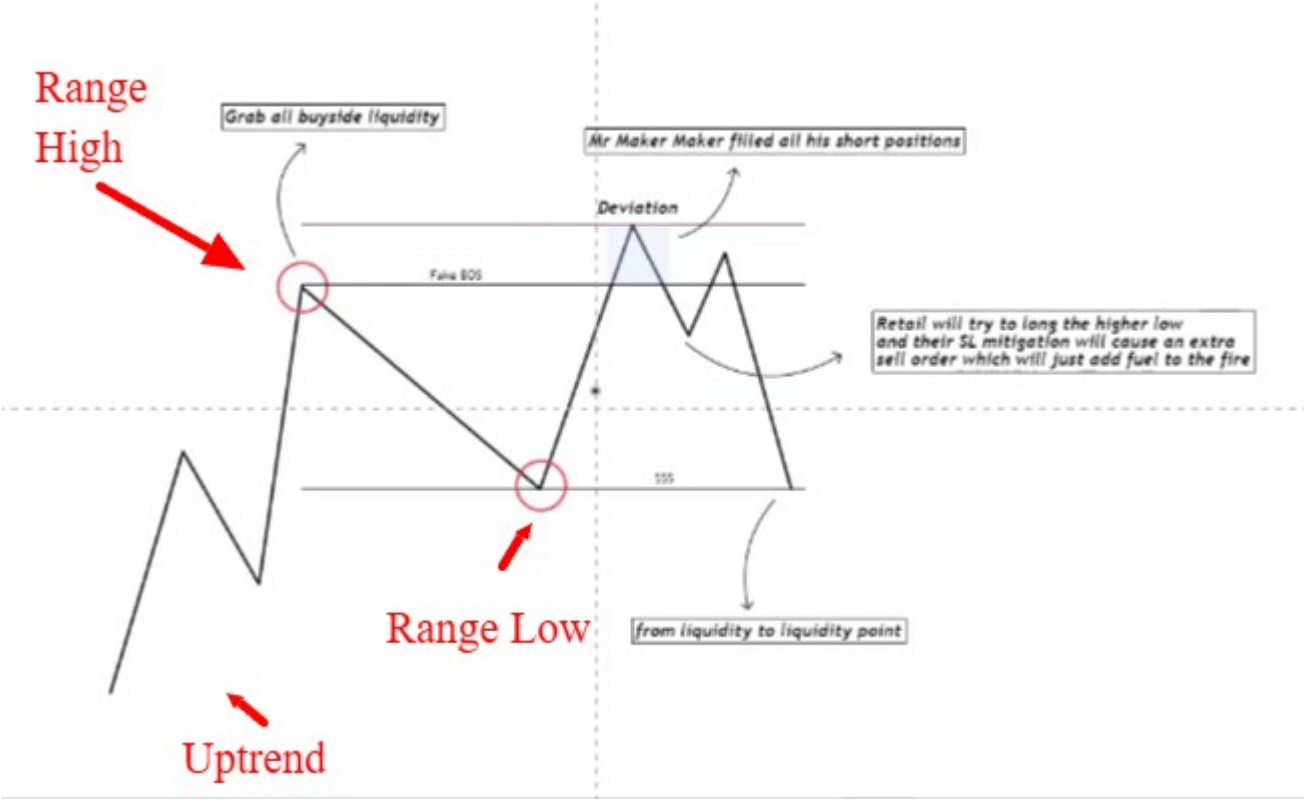


and then the moment this low get touched they'll troll their stop loss to this high then they'll enter right there or enter more on this break put their stop loss below that high enter more on this break put their stop
(11:07) loss more above that high and sometimes they even Trill right so once you have an extra break they'll they'll they'll move their stop loss lower like this

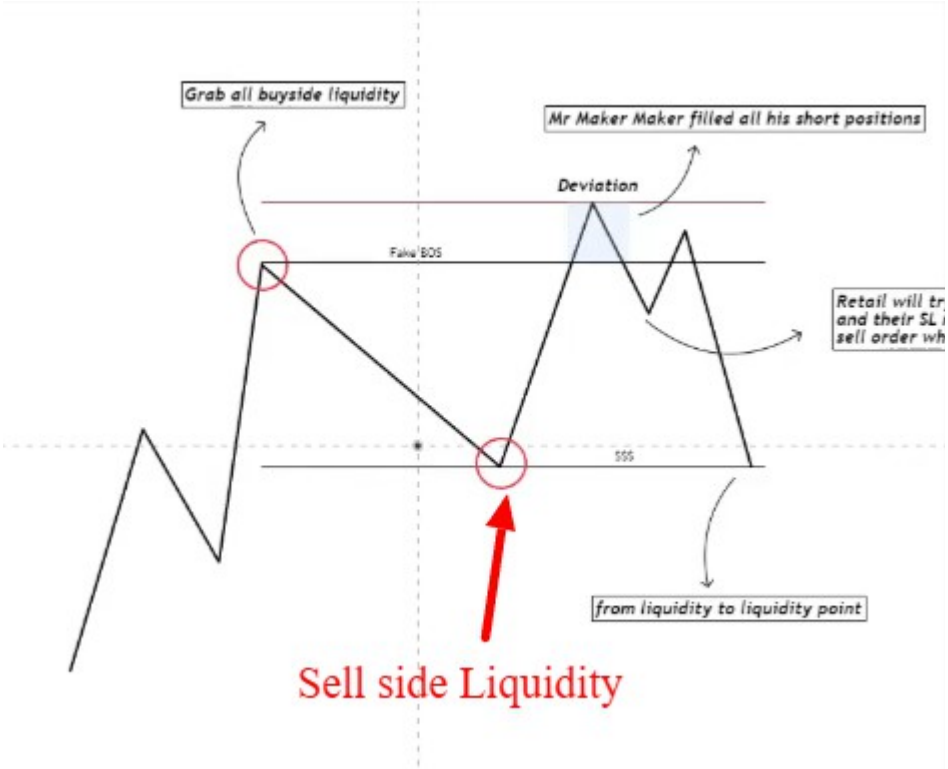
so in a downtrend your Market structure high will always have the most liquidity okay now already knowing this yeah already knowing just the information I gave you guys you can look at the ranges and the market structure points and you know the supply and demand I've all taught you in a completely different way because let's look at range deviations now
okay let's look at range deviations



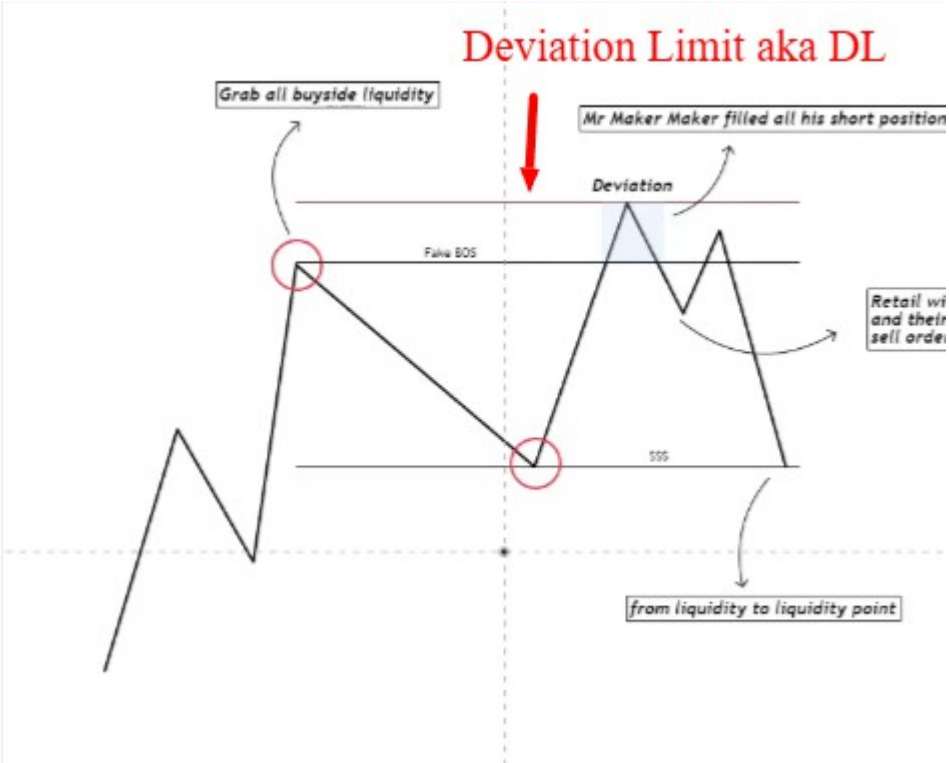
(11:46) we've we've talked about range and we've talked about Market structure right what we see right here is we see an uptrend okay what we see right here is we see an uptrend and then we have a Range High we have a range low and it's confirmed right here



when we touch that EQ that's not on the chart right now we know okay we know that our Range High has the most buy side liquidity meaning you know if that uh High gets taken the stop losses will get triggered above that high causing a buy trigger and that's why you call it buy side liquidity same

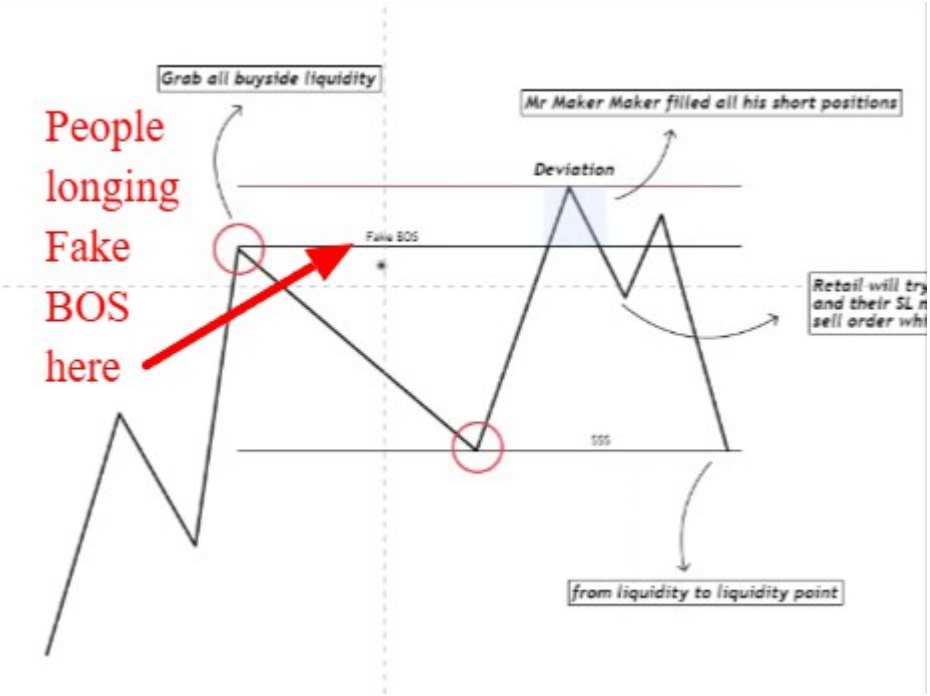


(12:20) when this stop loss gets hit you know the stop loss around the range low they will cause a sell order a sell trigger that's why it's sells side liquidity now if Mr Market maker looks at this range and he wants to dump price well what will he do he will push price just above that Range High keep it in the DL the deviation limit



okay make price go lower and reverse it to the range low because markets love to move from liquidity to liquidity price will go up above our Range High and it will have a double effect all the buy side liquidity will

(12:59) get taken making the Mr Market maker able to fill all his short positions but at the same time you have people longing the break of structure or people trying to Long the higher low because they think it's a break of structure because they don't understand ranges and the DL limit right

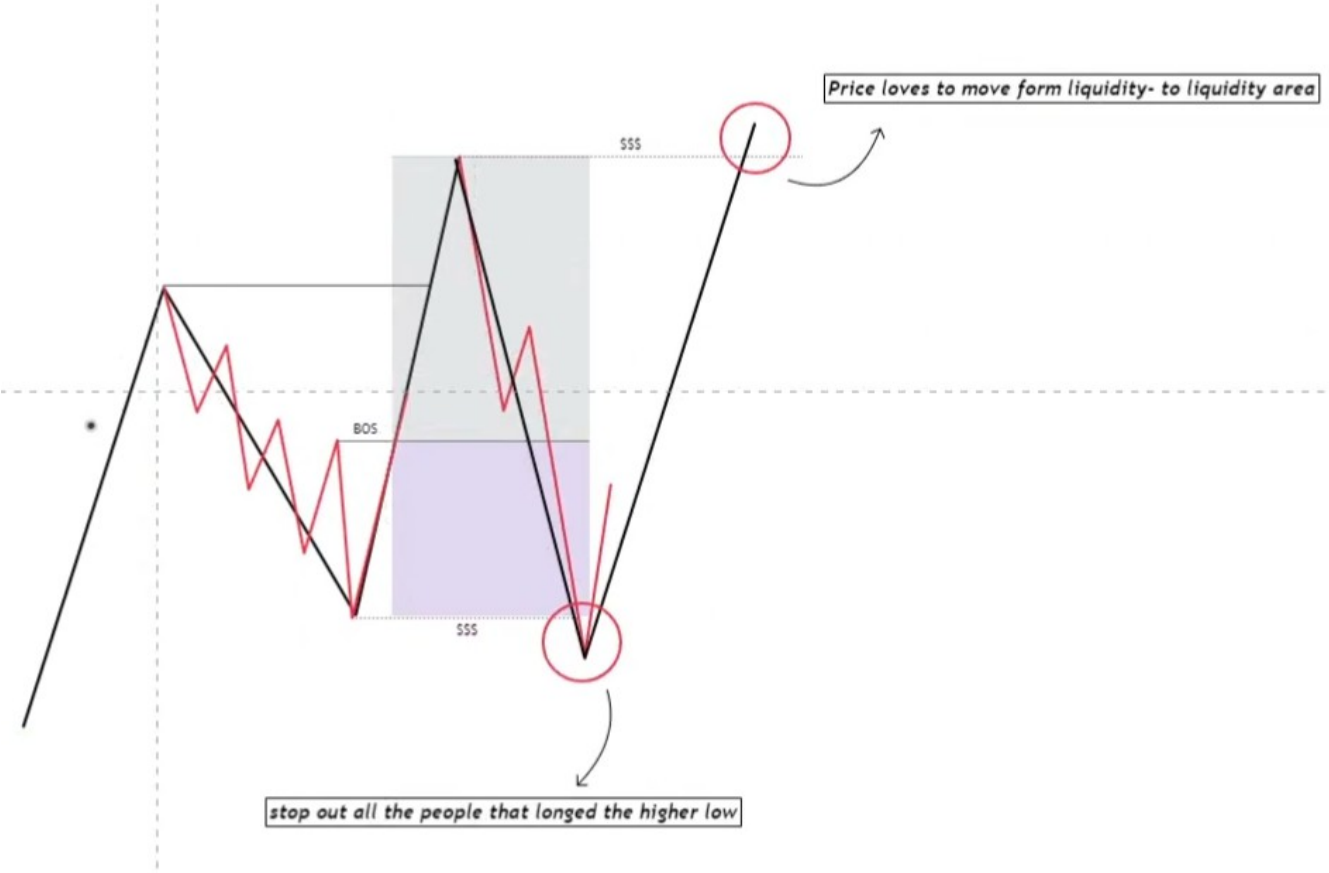


so taking that Range High gave the Mr Market maker the ability to fill all his short positions by taking that buy side liquidity at the same time people will try to Long the higher low and their stop loss Will gets hit while what happens when the
(13:36) stop loss gets hit of a buy order the exchange will sell it to the market which will just add extra fuel to the fire when we're going down right because it will sell and the market maker is already short and then all the stop guys hit causing sell triggers and it will be one massive Cascade down

Retail gos long on higher low and their SL mitigation will cause an extra sell order which will add fuel for price to go lower

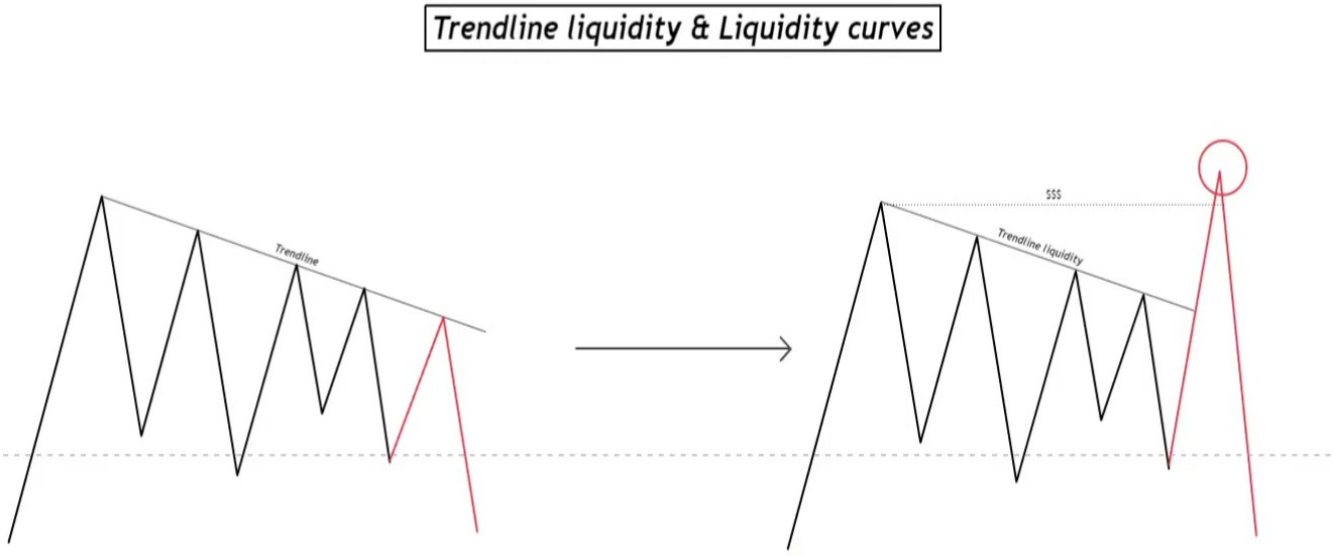
to guess what the next liquidity point because markets move from liquidity to liquidity so when you are looking at the markets I don't want you guys to think from a simple perspective of oh no we have a higher low and a higher high I'm just
(14:07) going to Long the higher low now no I immediately want you guys to think of hey we have a range we have a break but it falls in the DL limit this gave the market maker the opportunity to fill all short positions if we get acceptance back inside the range that could mean a reversal back down to the next liquidity Point that's how I want you guys to think okay because that's what is actually going on

and if you do not think like that you will get trapped you are the one getting trapped so instead of just thinking oh we have an uptrend
(14:35) we have a higher low and a higher high always check the DL2 see if it's a break of structure or a potential deviation and then price can have acceptance back inside the range which is something regarding TCT concept which is going to be more clear in the next videos okay and then price could potentially have a um rotation all the way back down to the range low because guess what that is the most obvious next liquidity point because the most obvious liquidity points in the range are the Range High and the range
(15:06) low okay so that is actually what is going on and the same goes for an SFP that you guys remember when I talked about wicking your Market structure high and wicking your Market structure low and you potentially having a rotation to the opposite Market structure point so if you Wick your low you can have a rotation to the high or when you Wick the high you can have a rotation to the low it's based around liquidity it's based around liquidity because let's say we're trending up let's say we're trending up and you're paying attention to that



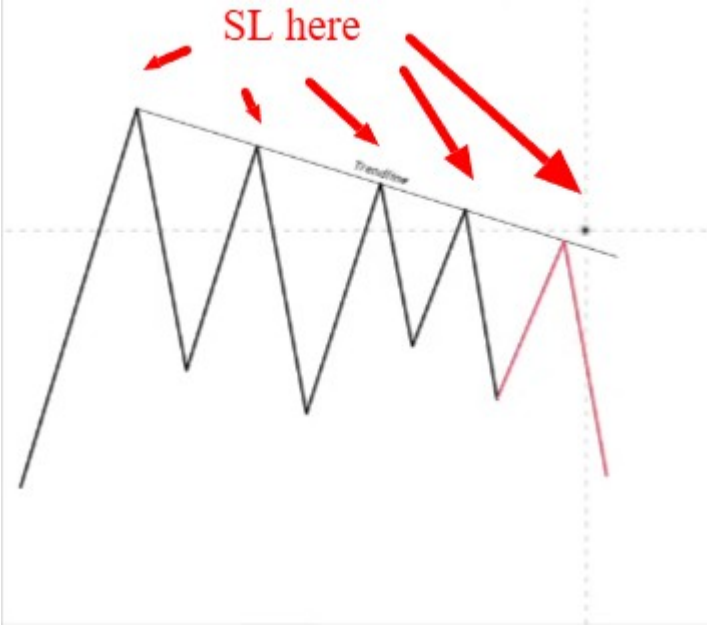
(15:38) overlapping structure and you enter on that red break of structure thinking about the domino effect but hey that could mean we could have a rotation back up towards the black high and from there we can have a continuation going higher and you go long like I said it's very normal to put your stop loss below that market structure low that's completely normal to do but what the market maker could do is he could dump price lower and then Wick your Market structure low right now I told you guys when you have to Wick you can have a rotation back towards
(16:09) your Market structure High because a wick is not a market structure break but what will happen now that you also understand liquidity it has the Confluence of hey we grabbed all sells side liquidity yeah because this is a uh stop loss from a Buy trade meaning the market will sell it or the exchange will sell it back to the markets causing it to be sell sells side liquidity that gave the market maker the

opportunity to fill his buy orders and make price reverse that's why when I talk about SFPs potentially having a reversal to
(16:40) the opposite point is a thing because the market maker saw that market structure low he knows that while trending okay while trending the most OB the most obvious liquidity points are Market structure highs and Market structure lows so he can make price go past that Mark structure low Wicked causing sells side liquidity to be taken so he can fill his buy positions and make prize reverse it's so tricky guys because the average Trader that doesn't understand smart money Concepts in the way that we do over here they're getting
(17:16) they're getting destroyed left and right they're absolutely absolutely getting destroyed absolutely getting destroyed so am I missing something thing no we're all good to go so it's it's it's crucial that you guys understand this right because that's like I just said regarding ranges that's how I want you to switch your mindset of like hey we just took that low that gave Mr Market maker the opportunity to fill his positions and reverse price that's what I want you guys to think each time you see a break or a deviation especially a deviation
(17:56) which you can always check with a DL2 right because my name guys is the composed Trader why is my name the composite Trader the guy that created Wyckoff his last name was Wyckoff and what he said in his book right I haven't read his book but I saw a quote from it and he said I want you guys to look at the markets as if it was controlled by one man and let's call him the composite man so what I call the Market maker he called the composed man and when you understand the composed man you will always be victorious that's why I am the composite
(18:33) Trader because I understand the composite men I understand the market makers and what they're actually trying to do okay so besides our Market structure highs and our Market structure lows and our range highs and our range lows as liquidity points we also have something called trend line liquidity and liquidity curves and for the people that have been following me and don't just know me from this mentorship you guys have have been seeing me draw the liquidity curves literally all the time that's literally what I draw all the time but



(19:10) now that you guys understand liquidity right and you understand market makers I want you guys to ask yourself why do trend lines not work they can work sometimes but often times trend lines do not work and I'm already you know showing you guys a bit what the answer can be but really ask yourself trend lines are one of the most common patterns used in the trading world and because it's so

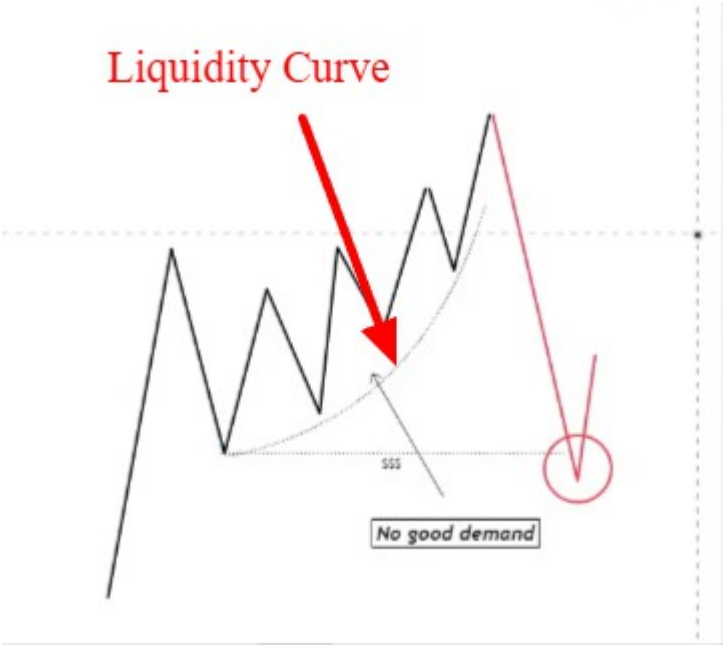
known and used it doesn't work good but I want you guys to ask yourself now thinking from a market maker perspective why would a
(19:51) trend line not work good most of the time okay if you thought about it the answer is a market maker always looks for points where there is the most liquidity right and trend line is such a common used pattern where every retail Trader that just enters the market has seen a YouTube video about the trend line and it's like hey we have all these highs connecting right here on this trend line and I'm going to short the lower high because that's what they are taught that's what they are taught they're going to short this red
(20:30) structure they're going to short the lower high that's what they think because we have this trend line at the same time all the people that have already shorted the trend line will probably put their stop loss above the previous High and the people that shorted here will put their stop loss above the previous High and the people that shorted here will put the stop loss above the previous high so this trend line is basically just stop loss here stop loss there stop loss there stop loss there stop loss there



and Market
(20:58) maker know that you are trying as the average Trader to short that lower high right so when the market maker comes to the market and he sees a trend line he just sees liquidity because he thinks to himself hey I want to dump this Market down okay but in order for me to dump it and be positioned in a good way I need 100 million sell orders well he knows all the people that shorted this trend line have stop losses that are causing buy order buy side liquidity so what he will do right what he will do is he will take
(21:35) out all these trend line highs which will trigger all the buy orders

so he can sell 100 million that's what the market maker sees when he sees a trend line the retail person will see this the market maker will see this and I want you guys to see it like this so when you see a trend line don't try and short the lower high watch and if the high is can get taken causing those stop loss to get triggered causing the spike up causing all the buy orders so he can sell okay so when you have highs that are all connected on the trend line I

(22:13) call it trend line liquidity I'm not even looking at it to long or to short the bounce of a trend line I'm looking for the trend line liquidity to get taken completely different mindset than most Traders right and the same goes with liquidity curves okay the same goes with liquidity curves so when I have a liquidity curve



okay it's simply when price is for example trending up right here or trending down but it's trending up sharper and sharper so the lows will not be connected with the trend line it's impossible to connect the load with the

(22:47) trend line because it's it's curving up sharper and sharper so I cannot connect it properly on the trend line that's why it's a curve it's curving up okay and when we're trending down and the and the lows are getting deeper and deeper and you cannot connect them with the trend line it's curving down hence the name liquidity curve

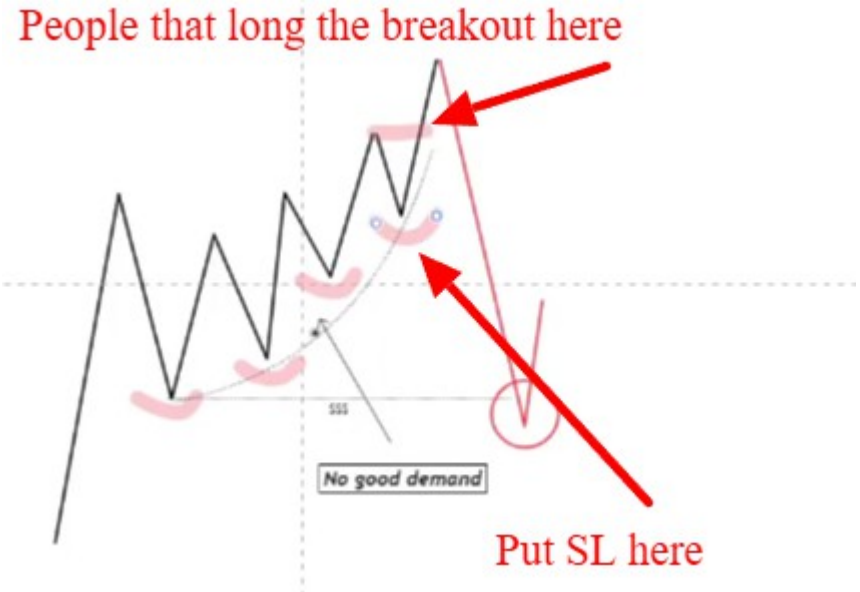
so people yeah that long right here will put your stop loss below this low

because that's the generalized concept

(23:29) you long a higher low you put your stop loss below the previous low and people that long right here will put your stop loss below this low

okay people that long right here will put their stop loss below that low

and people that long the breakout will put their stop loss below that low



so all these Lows have stop losses and it's curving up the only extra requirement you need to have in order to call it a good liquidity curve is you do not want any Demand on each higher low you want each higher low to mitigate all the demand that there is because I've been teaching you guys about Demand

(24:03) right demand is basically an indication of where the market maker stepped in and push price higher because you have an order block or you have structure demand but you guys know now that the only people that can move the markets are market makers so when you have demand that just means that the market maker push price higher there okay and then when price comes back to that area they can protect their positions that's something you don't want okay that's something you don't want you want each low okay to just have pure liquidity

(24:29) pure stop losses and no demand backing the low up you want no demand in this curve okay so liquidity curve is basically when we're trending up each high is a bit higher up so you cannot connect them with the trend line but you have a curve that has no demand okay no good demand now when we're obviously curving down the same thing applies all these lows or all these Highs are lower than the previous one causing them to have stop losses all over the place here

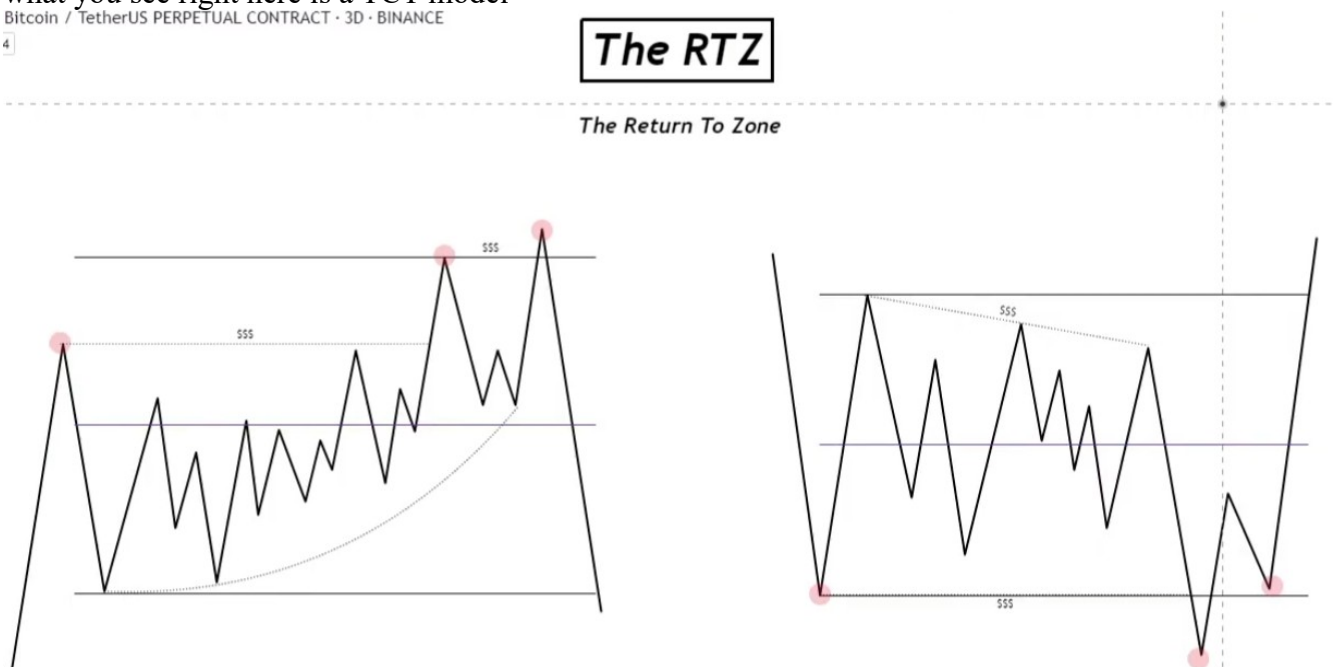
of people shorting right and you want no Supply backing up the high no Supply

(25:02) backing up the high okay so what the market maker sees when he comes to the market it's like hey if I push price down ever so slightly and all these stop losses get triggered it will be massive sell-side liquidity making me able to fill my buy orders

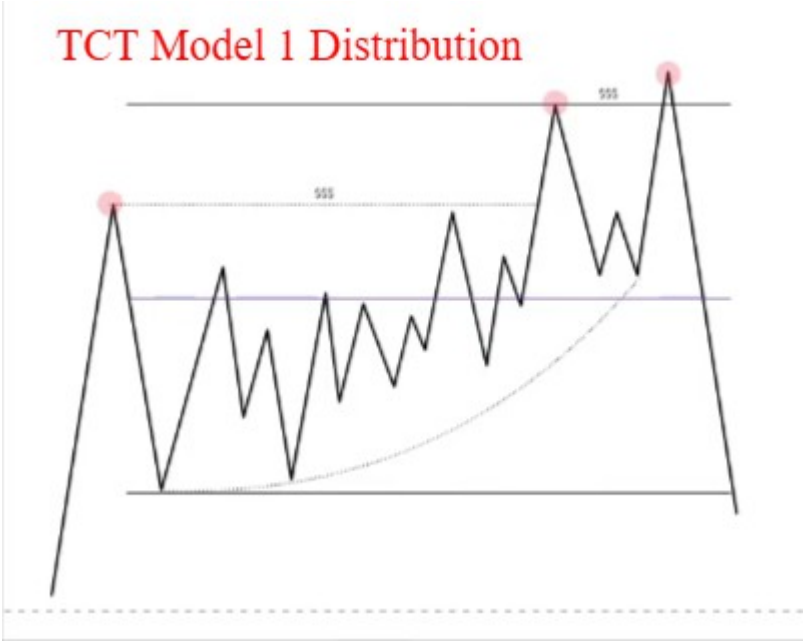
and potentially let price reverse from there and when he sees this when he comes to the market and he wants to dump the market properly and position himself in a good way he will push price up ever so slightly so all the stop losses get hit which will be buy side liquidity so
(25:35) he can fill his short positions and then dump price down

okay it's it's for me at this stage in my trading career it's so obvious but when you learn the most basic patterns on YouTube regarding trading this is such an eyeopener it's like it's looking at it in the complete opposite way which is exactly what you need to do because you need to be on the other side of the market because on the other side is the market maker you have the market maker and you have us and you want to be on the side of the market maker not on the

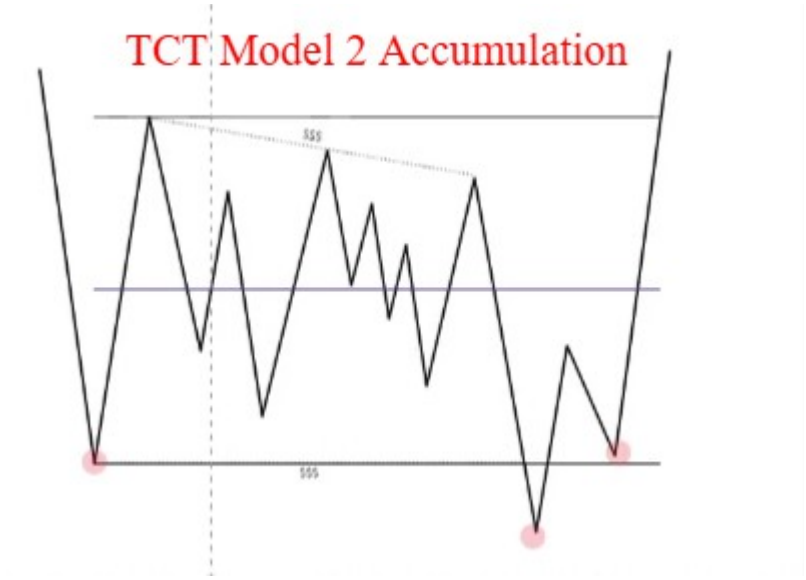
(26:08) side of us in general you know we are doing it good over here on TCT trading but the the the trading pattern gurus are uh are uh having a harder time okay and there can be patterns that work decent okay you can make your own concept around it and make it profitable and execute like a Rob and be good but in general the patterns that are very known don't work good okay all the boo Flags I don't know Diamond patterns falling wedges you you name it you name it okay so I've shown you guys about you know trend line liquidity liquidity curves
(26:48) liquidity above range high and range lows and how a deviation actually goes into into work you know of hey we're taking the high we grabbed all the liquidity now we can go to liquidity below because we know Marcus love to move from liquidity to liquidity we can also lose use liquidity from a different perspective making it have another purpose okay and that's something called the return to Zone the return to zone so return to zone is is looking at liquidity in in a bit of a different way okay what you see right here is a TCT model



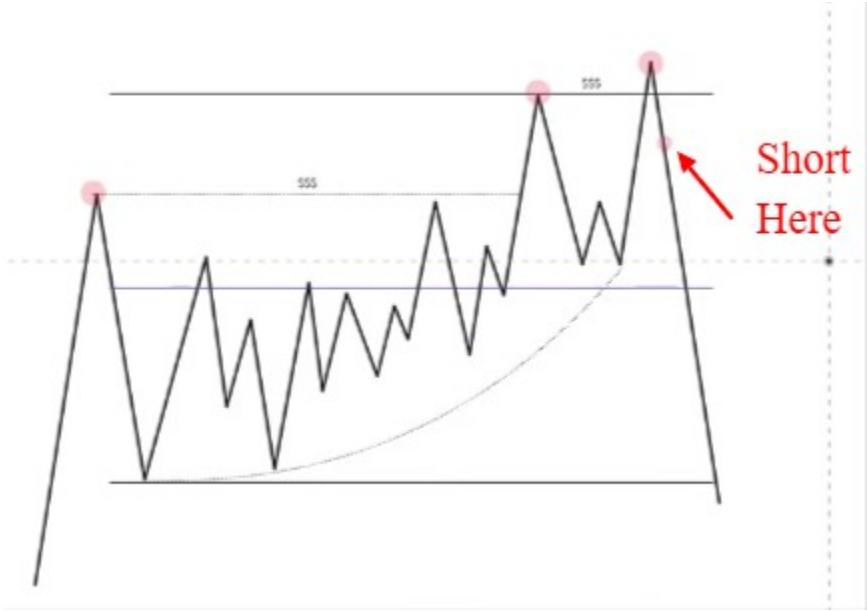
(27:32) one distribution



and a TCT model two accumulation



okay and you do not have to understand this yet okay especially if you're new this is something we're going to get into the next lectures all the juicy stuff right is going to get into the next lectures or are the strategies around the concepts you've been taught in lecture one till four understanding TCT you will know that you can probably short right around this red dot

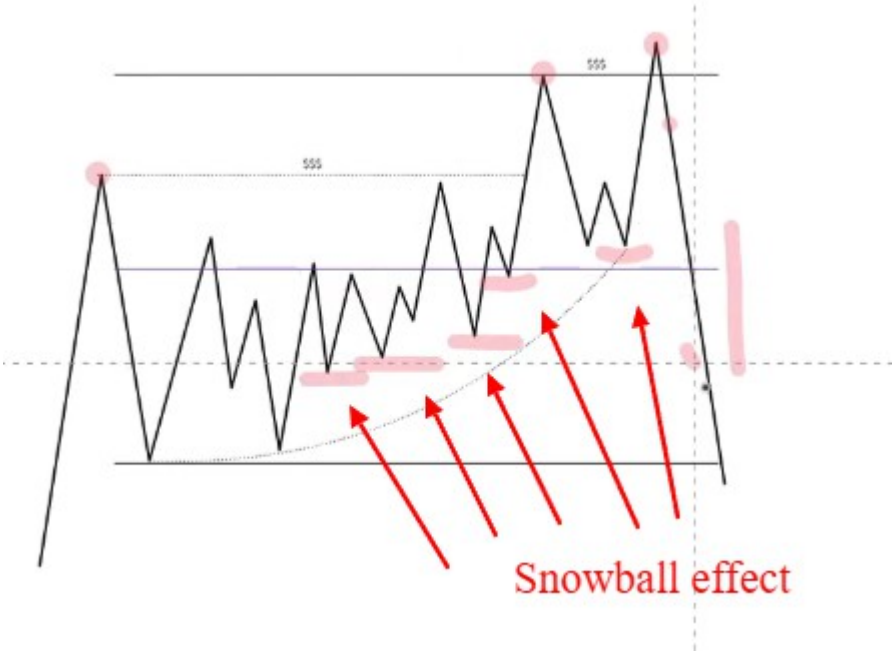


okay and you can Target the range low right here

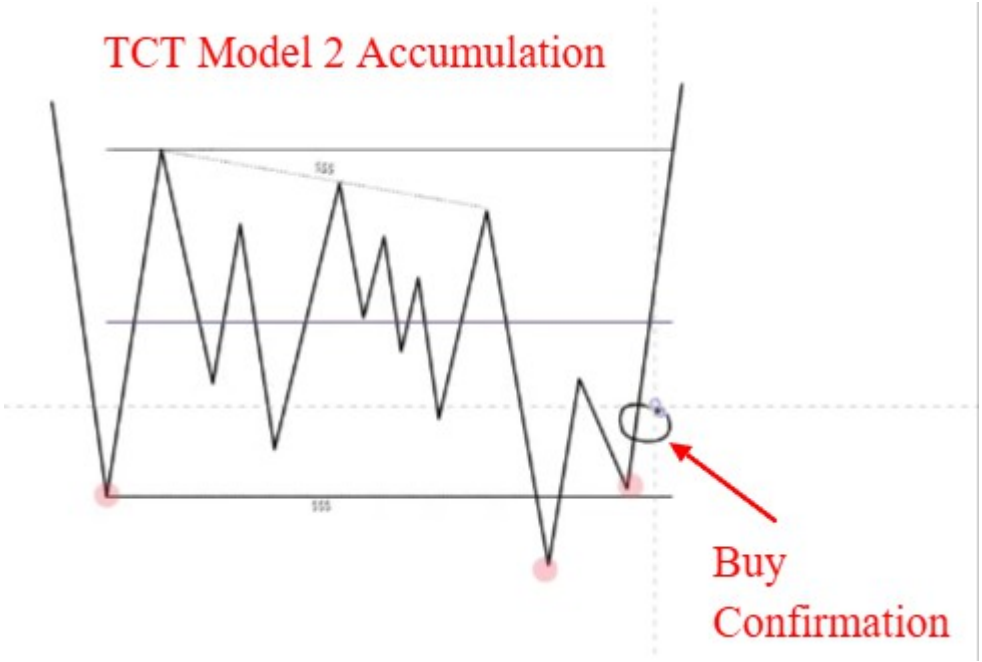
now the return to Zone basically means that we have a a
(28:16) very very very easy way of going down to our Target our return to zone is extremely good why if we get our short confirmation based on the TCT schematic the target of the short will always be the opposite range point which is something you will learn in the later lectures however if from the low up from this low up towards our short confirmation entry yeah there is nothing but liquidity therefore also no demand because you know in order to have a good liquidity curve you need no demand it will give us an extra confirmation for
(28:53) the short because one there will be nothing to hold price up right there will be nothing to hold price up from a demand perspective and if that first stop loss gets hit which will probably be below this low that will cause a sell trigger

and that sell trigger will Spike price down a bit lower causing that next low to get mitigated okay and those stop loss to get tapped causing another sell trigger

that will Spike price down even more to this low and that low and that low and it will be Snowball Effect

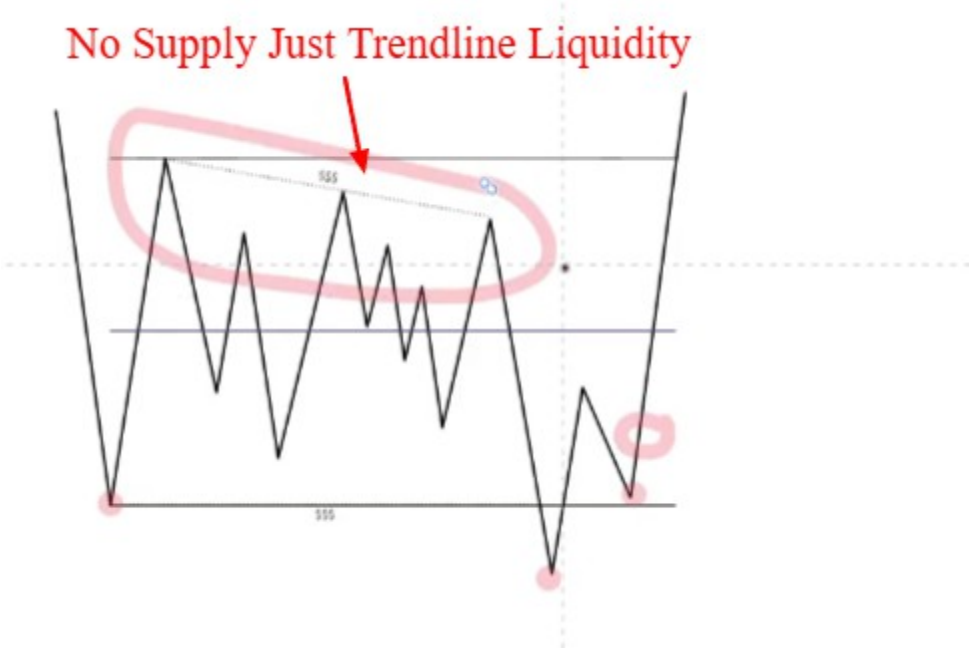


where
(29:26) that first order getting hit will Spike price down to that order and that order and then you have a Cascade down of sell pressure basically just by stop loss is getting hit so if we have a short confirmation here we need to Target the low but if at the same time our return to zone is extremely good meaning we only have liquidity right we only have liquidity and no demand what is going to hold price up and at the same time we know that markers love to move from liquidity to liquidity and you can see right here
(30:02) the Range High got deviated twice meaning the liquidity at the highs has been taking now we can have that um rotation down to the range low which is where the next obvious liquidity point will be so that's how we can use liquidity in another way meaning hey we know we can short right here but just because we only see liquidity here it will be a very fast and easy move down which is amazing if we are short okay it's amazing if we were short if there's nothing that's going to hold price up and right here there's nothing holding
(30:35) price up because there's no demand and there are just lows which consist of stop losses that will cause a Snowball Effect and a Cascade down and the same goes for model 2 TCT schematic accumulation okay let's say we get the buy confirmation right here right here we can buy



I don't know why the pen is there but let's say right here we get that buy confirmation okay we need to Target our Range High

but if at the same time there is no Supply above us and it's just trend line liquidity



well that's going to be very easy to rotate
(31:10) back up right that's going to be very easy to rotate back up because we just took all the liquidity at the lows we know markets love to move from liquidity to liquidity and at the same time there will be nothing to hold price up nothing okay because once that high gets taken and there's no Supply backing it up because otherwise you don't have a good trend line of liquidity right and that high gets taken that will cause that buy order spiking price higher

which will trigger the other buy order and then you just have a Spike Spike Spike and you
(31:39) have that snowball effect of actually going uphill okay so that's the that's all the theory behind liquidity right and understanding it and how we can use it uh in our advantage of knowing what the market maker is doing because in this situation scenario one we can see that the range High gets taken over and over again meaning they're taking the liquidity from the highs over and over again that is buy side liquidity meaning they are probably failing shorts and if especially if price is coming up leaving

this liquidity curve and we know markets love
(32:13) to move from liquidity to liquidity once we see price taking that high over and over again right not breaking it using our dl2 we'll know that hey okay all buy side liquidity is going to get taken now we can have a rotation back down to sells side liquidity and that's is exactly why I'm so confident in BTC right now on the macro skill like right now BTC on the macro skill is the perfect example of liquidity and what the market makers are doing okay because if we look at this range right if we look at this range how did
(32:44) this range start we were trending up very aggressively we have a high and we have a low that's our Range High that's our range low

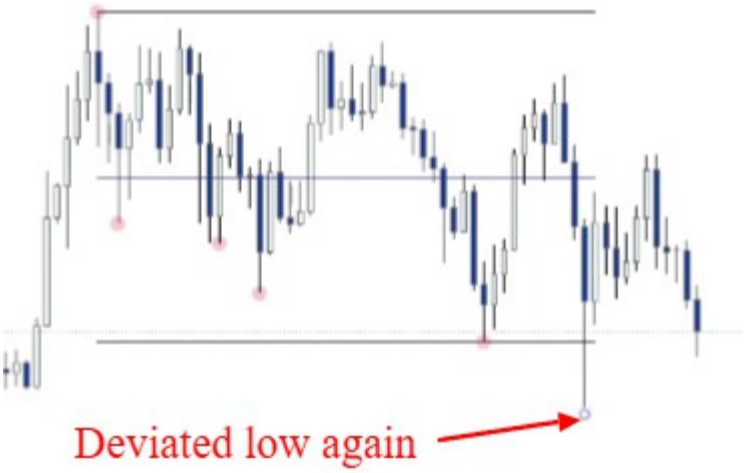
okay range high range low what has price been doing ever since right here we took the we took the range low we didn't take the Range High we took the range low meaning we grabbed the sell side liquidity from that low underneath that low there were stop losses when those stop loss gets hit that triggers a sell order making the market maker able to buy

and I'm talking tens and hundreds of millions of dollars

(33:17) okay from there we deviate the low

yet again right here from there we deviate the the low yet again right here

and again right here

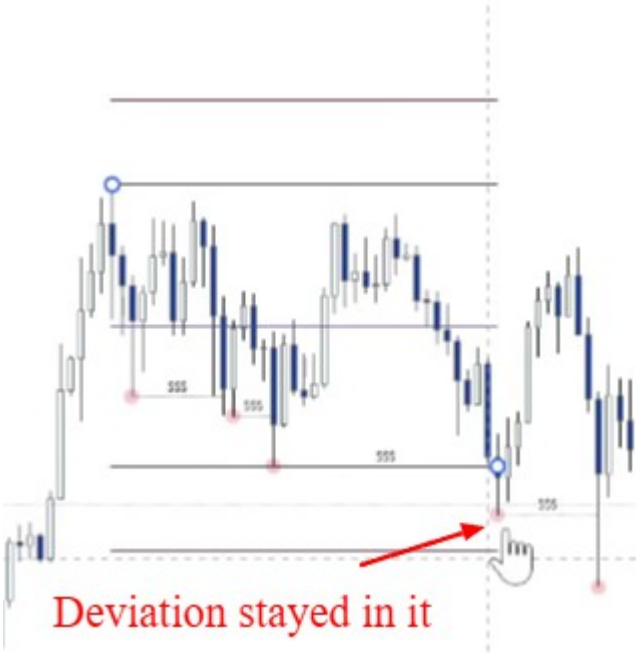


so all these lows are just liquidity grabs right liquidity grab one liquidity grab two liquidity grab three liquidity grab four

boom all while every deviation every deviation stayed in the dl2 right here we see our margin boom this first deviation stayed in it

we extend it right here this deviation stayed in it

this deviation stayed in it



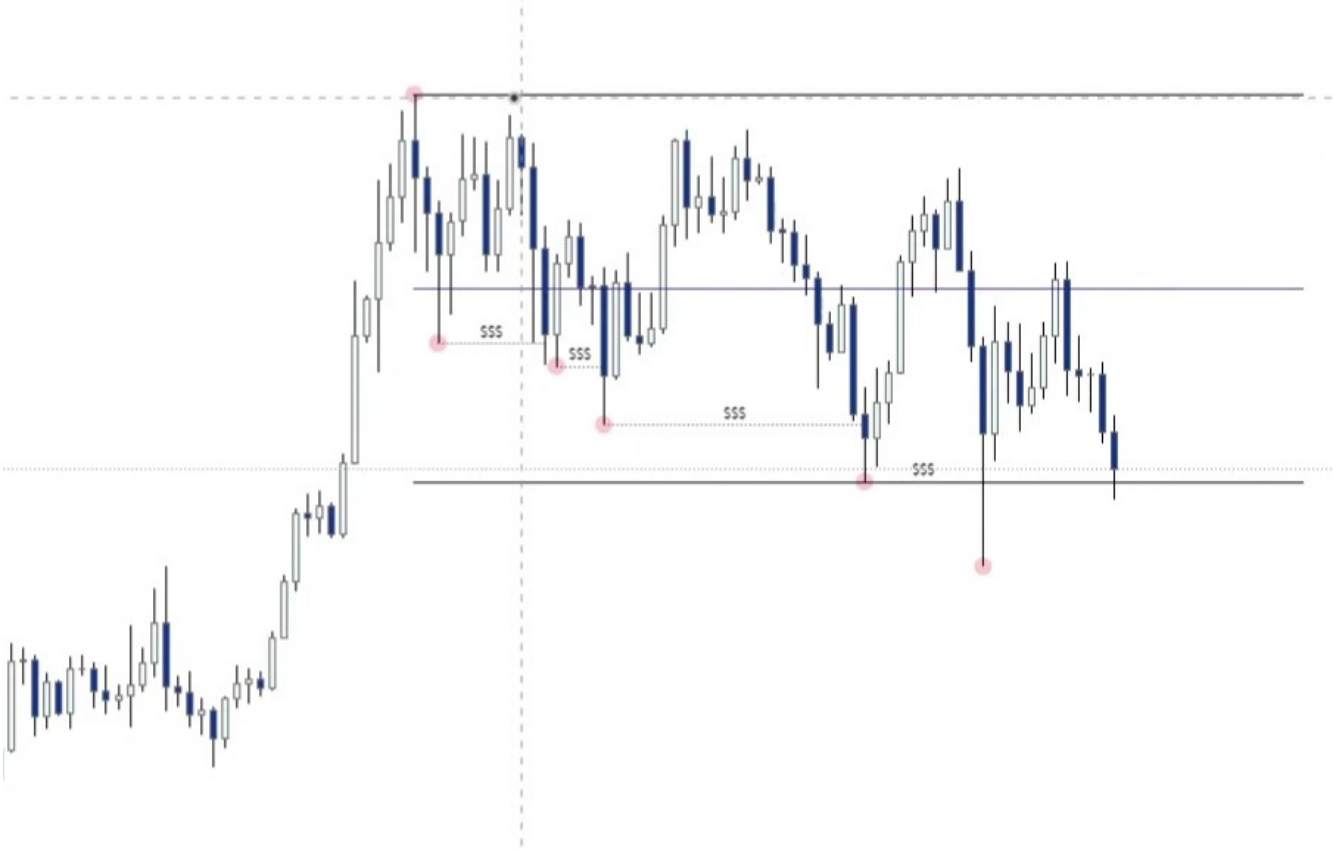
and then again here this deviation stayed in it

(34:07) right so we're just deviating the low over and over and over again okay over and over and over while guess what guys look how we're coming down that's our Range High this is one high this is one high that's a high that's a high

you see what I'm doing here each high is lower than the previous High meaning we have a curvature of liquidity above

and if that first High gets taken that causes a what causes that guys a buy trigger

because it's buy side liquidity because the people that shorted making price go down okay have

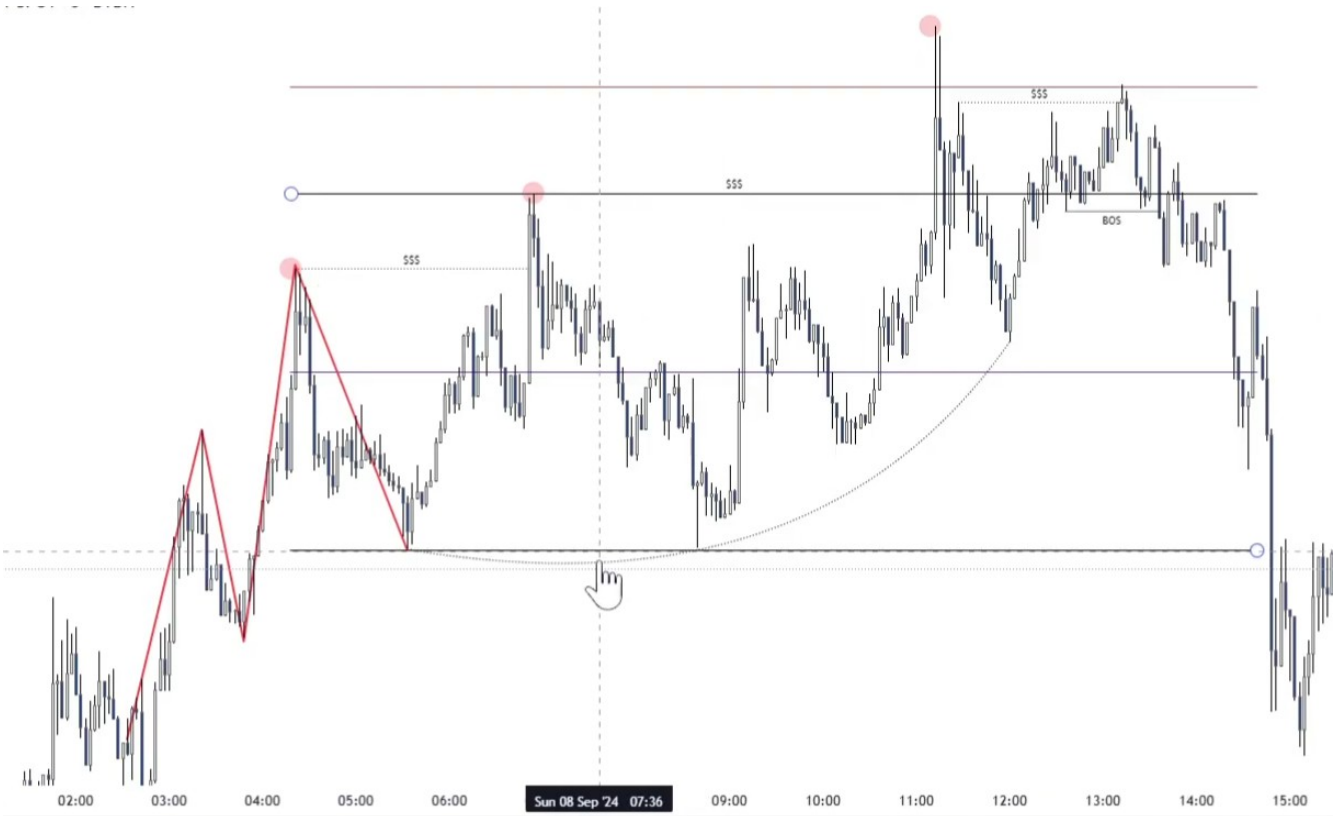


(34:56) to stop loss above that height on a macro scale so if I ask you what are the market makers doing right here they're filling long positions and the move up is going to be extremely easy because there's nothing to hold price down from a supply perspective and we just have highs and we have liquidity and liquidity and more liquidity right and you can even confirm this by looking at heat Maps heat maps are a tool where you can see where the liquidity is well I don't need heat maps and you don't need heat Maps because you

(35:28) can see it by using um the TA that I'm presenting right here right and it works on every time frame this is just the macro time frame that's why I'm absolutely not worried that you know we will never visit that high because if the intention of the market maker was to dump price into new bare Market lows meaning it will have to fill $1 billion of short positions if that's his intention to dump price he's going to calculate okay I need 1 billion in short positions what he what what will he do if he wants to fill 1 billion well he

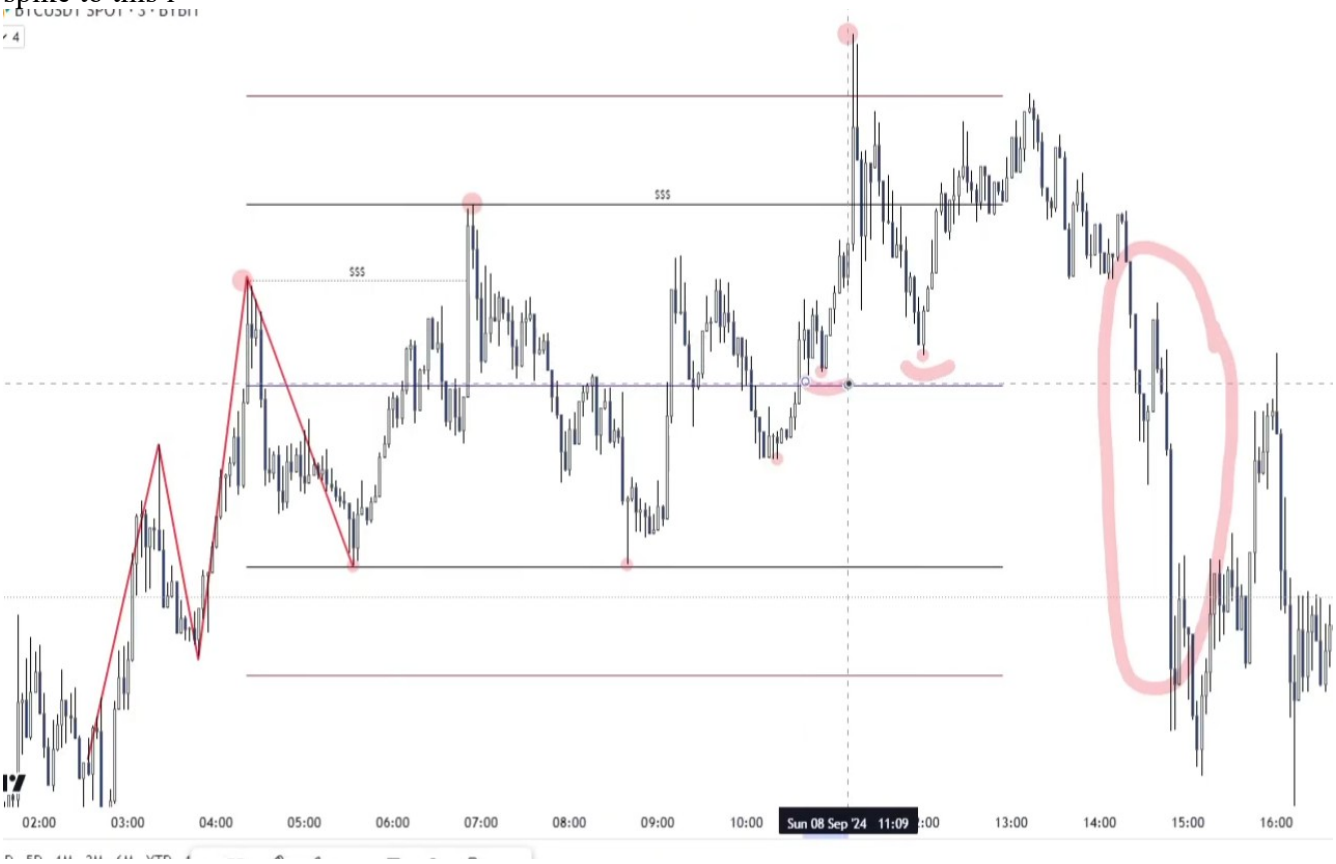
(36:04) knows all these highs have buy side liquidity maybe this high as 100 million that high as 200 million 300 million 500 million so if price can come above that high and will Spike up that will cause a billion in buy orders so he can sell a billion to dump price but we're doing the we're doing the exact opposite he's filling a billion in buys by taking those lows because those lows calls sell orders when he wants to buy he needs someone selling to him that's why this range is going to break to the upside and it's not happening now and you can

(36:37) confirm this if you're watching the mentorship later on right you're watching the mentorship and you're finding it in 2025 you better see how this range ended up turning out because I'm betting you with my life savings that on a macro time frame this range is going to break towards the upside and it's not going to surpass a dl2 of the range low okay but it works on any time frame for example literally today this is a scalp you could have taken today on BTC why what was price doing we were trending up okay we were trending up so



(37:09) right here this is our range starting point okay let's just delete that range let's delete this let's delete all of this okay we were trending up in an uptrend we pull our range from high to low and we're going to use our dl2 okay range high to low we exceed the range we come back inside what this a range what this the break of structure guys no because we stayed in the DL limit okay so we extended now we extended now price came down did not take that low higher low ever so slightly okay price came back inside the range we
(37:41) ranged for a bit more we deviated the high again is this a break nay no because we did not close above our dl2 we need to close a wick is completely fine guys you need a close above it for it to be invalidated so what can we see what can we see price is taking the high over and over again grabbing all buy side liquidity right grabbing all buy side liquidity but at the same time we have a low right here we have a higher low and we have a higher low and we have a higher low and we have a higher low so price is taking the high but it's not
(38:18) taking the low so we're taking all buy side liquidity and we're leaving sell side liquidity here so what is the market maker doing guys maybe the retail person is trying to Long each higher low thinking there's a break of structure what the market maker is doing is he's filling his short positions so right here he filled short position one on the deviation he filled more shorts and on this deviation he filled his final shorts right this is TCT malan schematic for the people interested at the same time we're not
(38:51) taking the low we're not taking the low so what do we have guys we're taking the high we're taking all buy side liquidity we we know markets love to move from liquidity to liquidity so if all buy side liquidity has been taken over and over again and we're leaving cide liquidity behind price will come towards that sell side liquidity okay once the confirmations are met which will be taught in the tctt schematic strategy section okay and now you have to ask yourself why was this move down so aggressively why was this move down so

(39:23) aggressive right here well that has to do with the return to Zone I told you guys that the moment this low gets taken a stop-loss will get hit causing a sell order okay because people longed put their stop loss below the low when you long and your stop loss gets hit that causes a sell order you sell back to the markets that caused a spike down towards that low where the next stop loss location was and then that caused a spike down to this low where the next stop loss location was and that caused a spike to this l



(39:58) where the most stop loss locations were because that was actually the range low right so this is not an aggressive move down because people are selling you don't have people shorting right here you just have stop losses getting hit right here which cause a massive Snowball Effect down just a douch that's how that works that's also guys understanding liquidity from this POV where we have you know all buy side liquidity getting taken over and over again with two range deviations and then getting acceptance back inside boom

(40:27) reversal and we had an amazing return to zone no demand so the move down will be easy which adds that extra bit of Confluence and Confirmation to the trade okay but just by understanding this this was also how I managed to call the P3 on BTC you don't need to understand what the P3 is yet but right here we have a low we have a high we have a higher low for a higher high this was a breakout structure okay why was is a breakout structure why you see it with your own eyes very clearly but also if you use a dl2 to confirm it did we close above our

(41:04) DL limit yes we did very convincingly okay very convincingly so yes that is a market structure break let's keep that in there let's keep that in there we have a low high higher low higher high okay was this a mark strcture break let's put it correctly was this a market structure break guys no why this is

a range we can use our dl2 okay we can use our dl2 and look at that we never closed above our tl2 never confirming a break at the same time we had this sixh hour order block which you should also know now right at that DL
(41:46) limit line where we could reject from okay so instead of thinking instead of thinking hey I'm going to Long the higher low for the higher high which is what everything and everyone tried to do online I saw it with my own eyes you now can change your perspective of like hey this was a range this was a range this right here is simply just a deviation and our manipulation above the Range High giving the market maker the opportunity to fill his uh short positions because we came above that Range High which was buy side

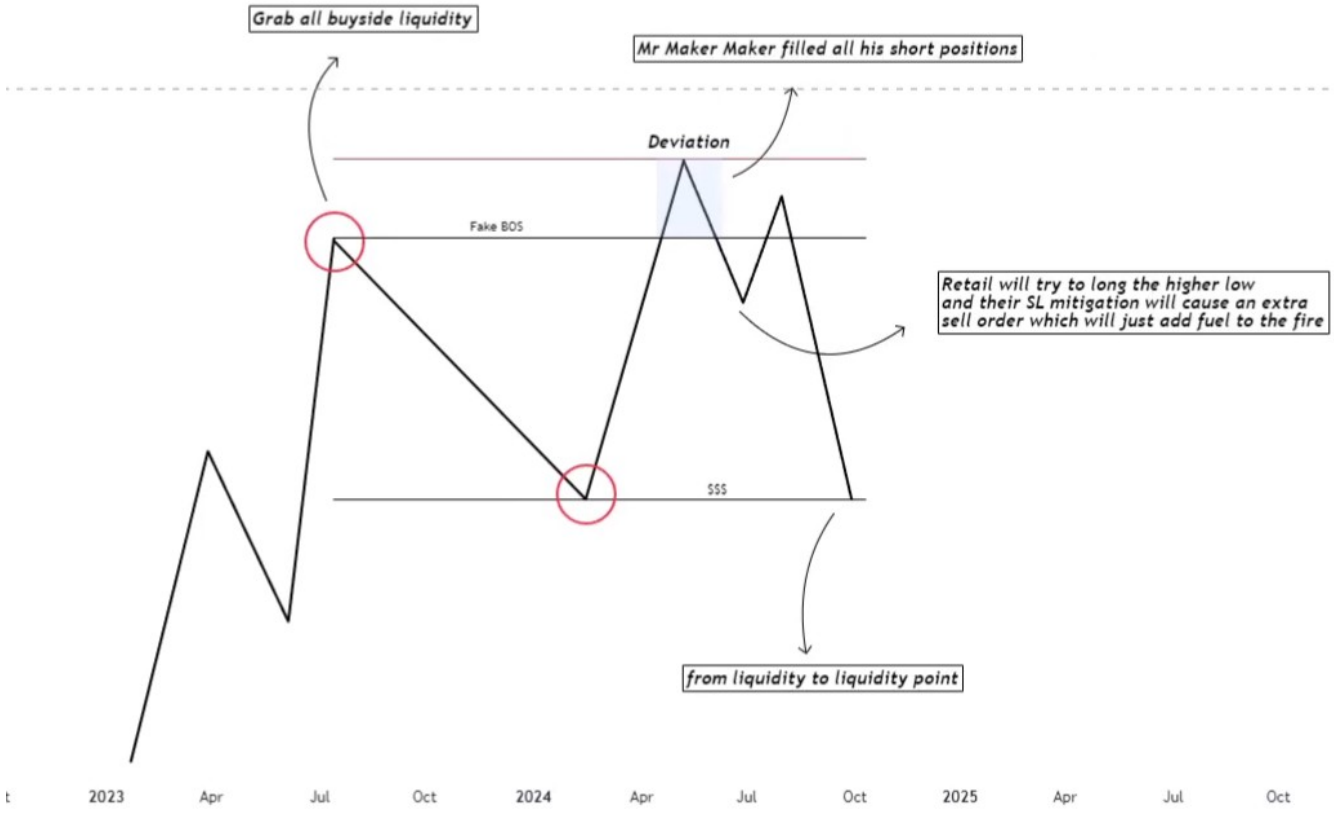
(42:24) Equity right at the same time people try to Long the breakout and long the higher low right here thinking it's going to do like this higher low and higher high that's what people try to do which will be uh which will cause extra fuel to the fire but you guys know now the Range High is taken that gives the market maker the opportunity to fill his short positions because the Range High was buy side liquidity so now he can fill with short positions if we get acceptance back inside the range we can have a rotation

(42:56) down because look at it guys look at this what did we have inside of the range we have highs or we have lows and we have a higher low and a higher low and a higher low and the higher low and the higher low you see all these lows being higher meaning all the people that long inside of the range put their stop loss below the low which is sells side liquidity so there's nothing to hold price up absolutely nothing to hold price up this is how I managed to call this guys just by understanding liquidity so we use the dl2 to see if it can be a
(43:26) deviation and when it can be a deviation you switch your mindset to hey buy side liquidity has been taken we have lots of sell-side liquidity below markers love to move from liquidity to liquidity so if we get acceptance back inside the range we can have the rotation down which happened right here very aggressively because it's that Cascade down that Snowball Effect I've been talking about that's literally just this guys what you see right now on my chart what you see right now on my chart is literally what we discussed

(44:00) right here right here grab all buide liquidity deviation retail we Tred to Long the higher low thinking it is a break of structure but it's a fake break we move from liquidity liquidity that's literally this right here that sketch is literally what you see in front of you okay so this Works guys understanding liquidity you will know what they are doing because if the market maker wants to dump price he cannot just dump price randomly he has to make price act in this way in order to dump it otherwise he can't he can't just

(44:42) randomly dump it because he needs to fill his positions so you will always see what they are doing they are not doing it sneakily they cannot do it in a sneaky way because they need to fill massive positions and in order to fill massive positions they have to make price act in a certain way by taking either all buy side liquidity or taking all sell side liquidity and we can notice that on the chart and that way you will always be on the right side and you will take others people liquidity and you won't be liquidity

(45:13) okay understanding this is key it's AB absolutely key okay understanding this right here if you understand this the TCT strategy will make so much sense in the next lectures because it's based around what you're seeing in front of you right now okay and it's so effective guys understand this study this lecture over and over again look at the markets play around draw your ranges look at the dl2 is it a deviation or is it not right do we have a return to Zone do we not do we have Trend liquidity or not what is price most likely to do next



(45:56) thinking from a market maker perspective I want you to think as if you are the market maker think if I had 100 million and I need 100 million to be fulfilled in order to move price where will I do and what will I make price do in order for that to be fulfilled AKA hey maybe I would take out the Range High making people think we have a break of structure make making people think into long and higher low but at the same time when I grab that Range High I just fill massive shorts and I absorb all their long orders and I
(46:31) just dumb price on them because that's what I can do markets only move in your desired direction if the market maker decides to because they are the only one that can move price and by trading with them you will always be on the right side of the market so understand this study this combine it with supply and demand above your Range High below your range low you know combine all of it play around practice and then go into the TCT strategies because it will make so much sense now now understanding liquidity combined with your ranges and how to
(47:07) pull them and the range deviations right and the supply and demand it will all make so much sense so this was the last I'm still working oh yeah we're all good okay thought we had an error real quick guys this is the last lecture of the basics the foundation the things you need to understand to also trade TCT schematics okay now we're going to get into the juicy stuff so if you have made it until here I'm proud of you low key is not even that hard like I'm giving out a free mentorship with the best value and the best information that is out there

(47:54) which will literally make you profitable for free so if you don't have to time stamp to watch all the lectures you literally do not deserve to make any money but for the people that are listening to it right now I cannot wait to teach you TCT schematics take this video in absorb all the information don't go from vit to vit immediately like let let it let it cool off let it let it settle a bit in the mind and then I'll see you guys in the next lecture where we will be talking about W off